

29 September 2020

Circular on the electronic dissemination of investment product documents

1. The following guidance on the post-sale¹ dissemination of documents in electronic form is provided to:
 - (a) issuers of investment products authorised by the Securities and Futures Commission (SFC) under Part IV of the Securities and Futures Ordinance (SFC-authorised Products); and
 - (b) intermediaries who hold investment products on behalf of their clients².
2. Issuers of SFC-authorised Products are required under their constitutive documents³ and the applicable legal and regulatory requirements to issue and disseminate to investors product documents such as offering documents, notices, announcements and financial reports (Product Documents).
3. In view of the increasing use of electronic media, issuers and intermediaries which disseminate paper Product Documents may wish to disseminate these documents electronically. Examples of electronic dissemination (e-dissemination) arrangements include:
 - (a) providing electronic copies of documents to investors; or
 - (b) notifying investors electronically (i) that the documents are accessible online and (ii) where the electronic documents can be accessed.
4. Prior to adopting e-dissemination arrangements, issuers and intermediaries must ensure that they have in place proper transitional arrangements which comply with applicable laws and requirements⁴. Guidelines for transitional arrangements are set out in paragraphs 8-10 below.
5. The general principles in paragraphs 11-13 apply to all e-dissemination arrangements.
6. Intermediaries disseminating documents for non-SFC authorised investment products to their clients electronically should also comply with this circular and upon receipt of documents from product issuers ensure that the documents are disseminated to their clients in a timely manner.

¹ For the provision of product information to clients at the point of sale, intermediaries may design their own procedures (including the means of delivery) depending on their operations and the circumstances of each case. They will need to ensure that these procedures comply with applicable regulations.

² Under General Principle 5 of the Code of Conduct for Persons Licensed by or Registered with the Securities and Futures Commission, licensed or registered persons are required to make adequate disclosure of relevant material information in their dealings with clients. In this regard, an intermediary is required to disseminate in a timely manner to its clients documents which are prepared or issued by a product issuer.

³ Including the policy documents in the case of SFC-authorised investment-linked assurance schemes (ILAS) and the terms and conditions in the case of SFC-authorised paper gold schemes and SFC-authorised unlisted structured investment products.

⁴ Transitional arrangements will not be required for investors who have only been offered e-dissemination from the outset.

7. Documents for listed SFC-authorized Products⁵ (other than unlisted unit and share classes of listed SFC-authorized Products) should continue to be disseminated electronically pursuant to their constitutive documents and applicable requirements⁶.

Transitional arrangements for investors currently receiving paper documents

8. Compliance with applicable laws and regulations
- (a) Issuers must ensure that e-dissemination arrangements comply with the applicable laws and regulations governing SFC-authorized Products and their constitutive documents. Where amendments to constitutive documents are required before e-dissemination arrangements may be adopted, such amendments should be made in accordance with the relevant constitutive documents and applicable SFC product code⁷.
 - (b) Prior to implementing e-dissemination arrangements, intermediaries should ensure that they comply with the relevant client agreements.
9. The SFC expects the transitional arrangements to include the following:
- (a) a printed notice to be sent to investors (Transition Notice)⁸ at least one month⁹ before adopting the e-dissemination arrangement;
 - (b) the Transition Notice should provide information which is necessary to enable investors to understand the e-dissemination arrangement¹⁰, how it might affect their rights or interests as investors of the relevant SFC-authorized Products¹¹ and the procedures for investors who wish to change the means of delivery;
 - (c) where applicable, clear and prominent warning statements must be included in the Transition Notice to alert investors that they will no longer receive product information in the form of paper documents after the effective date of the e-dissemination arrangement and specifying any action required on their part if they wish to change the means of delivery; and

⁵ Including exchange traded funds (ETFs) and real estate investment trusts (REITs).

⁶ Such as the Code on Unit Trusts and Mutual Funds, the Code on Real Estate Investment Trusts and the Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited.

⁷ Including the SFC Handbook for Unit Trusts and Mutual Funds, Investment-Linked Assurance Schemes and Unlisted Structured Investment Products and the product codes therein, the SFC Code on MPF Products and the Code on Pooled Retirement Funds.

⁸ Question 26 of Frequently Asked Questions on Post Authorization Compliance Issues of SFC-authorized Unit Trusts and Mutual Funds published by the SFC sets out the expected minimum content requirements for the Transition Notice for SFC-authorized funds

(<https://www.sfc.hk/web/EN/faqs/publicly-offered-investment-product/post-authorization-compliance-issues-of-sfc-authorized-unit-trusts-and-mutual-funds.html>).

⁹ Or such longer period as required under applicable laws and regulations, the offering documents or constitutive documents of the SFC-authorized Product.

¹⁰ For example, that appropriate hardware and software, internet access and a specific email address, mobile phone number or other electronic address provided and designated by the investor may be required for receiving email, short message services (SMS) or other electronic notifications from the issuer or intermediary.

¹¹ For example, details of the e-dissemination arrangement, its implications for their receipt of product information as well as the arrangements for those who wish to obtain paper copies of documents.

- (d) unless an investor responds with instructions to receive product information in the form of paper documents, e-dissemination for that investor can proceed on the effective date¹².
10. For investors who transition from receiving paper Product Documents to e-dissemination arrangements, issuers and intermediaries must observe the following:
- (a) Investors should be entitled to receive the documents free of charge in one means of their choice (ie, an investor may choose to receive documents either in paper form or via an electronic means¹³ specified by the issuer or intermediary).
 - (b) Subject to paragraph 10(a), if charges are to be imposed for the provision of documents, the issuer or intermediary must notify investors of the charges in advance and ensure that all charges are fair and reasonable¹⁴.
 - (c) Investors should be allowed to change the means of delivery at any time subject to reasonable prior notice. Procedures for changing the means of delivery and the issuers' or intermediaries' Hong Kong contact details for enquiries relating to e-dissemination arrangements should be provided to investors.

General principles

11. E-dissemination arrangements must be in compliance with applicable laws and regulations.
12. Dissemination must be timely:
- (a) Issuers must ensure that effective measures are in place for the timely dissemination of product information to investors.
 - (b) In this connection, when SFC-authorized Products are held by intermediaries:
 - issuers and intermediaries must ensure that proper and effective measures are put in place to enable the intermediaries to access and be informed of product information in a timely manner; and
 - issuers should be reasonably satisfied that the intermediaries have in place proper and effective measures for the timely dissemination of product information to the end-investors.

¹² Paper documents should continue to be sent to investors who (i) have only provided the issuer or intermediary with a postal address but not any contact information for electronic communications or (ii) have given specific instructions to receive product information in paper form only.

¹³ Such as by email, SMS etc..

¹⁴ Paragraph 2.2 of the Code of Conduct for Persons Licensed by or Registered with the Securities and Futures Commission.

13. In this regard:

- (a) Issuers and intermediaries should put in place systems and controls to detect and rectify any unsuccessful electronic dissemination to investors, where practicable. Where an electronic communication (eg, an email) that is sent to an investor is returned to the sender undelivered, the issuer or intermediary should assess whether that means of communication is effective for that investor and take remedial actions where reasonably practicable.
- (b) If applicable, the contents of the electronic product documents and the paper copies should be identical.
- (c) Where documents are disseminated electronically in the manner set out in paragraph 3(b) above, they should be accessible by investors for a reasonable period of time. The documents should also be in a form which allows investors to retain them¹⁵.
- (d) When an issuer or intermediary relies on a third party (eg, an external service provider) to support e-dissemination arrangements, the issuer or intermediary remains responsible for ensuring that the requirements set out in this paragraph are complied with. Issuers and intermediaries should exercise due skill, care and diligence when selecting and monitoring third party service providers.
- (e) Issuers and intermediaries should maintain proper records relating to communications with investors via e-dissemination arrangements (eg, the date and time when a document was disseminated to investors)¹⁶.

Others

14. Should you have any queries about the contents of this circular, please contact the relevant case officers in charge.

**Investment Products Division
Securities and Futures Commission**

**Intermediaries Supervision Department
Intermediaries Division
Securities and Futures Commission**

¹⁵ For example, they should be printable or downloadable.

¹⁶ The issuer or intermediary should establish and maintain effective retention policies for the records or audit trails which ensure that all relevant legal and regulatory requirements are complied with, and which enable the issuer or intermediary, its auditors and other interested parties to carry out routine and ad hoc comprehensive reviews or investigations.